

GAMES WORKSHOP GROUP PLC

Equity Research Report

DCF Valuation & Investment Analysis

VALUATION DATE

1 June 2025

FY2025-vintage analysis | London Stock Exchange: GAW

Portfolio Project

Financial modelling, valuation and equity research analysis using an Excel DCF model with Python-based analytical support.

Prepared for educational and portfolio purposes. Forecast and valuation assumptions are analyst/model inputs and are not company guidance.

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FY2025 REVENUE	DCF VALUE	BASE WACC / G
£617.5m	£93.04	8.9% / 2.0%
Historical actual	Implied share value	DCF assumptions

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- Intellectual property and ecosystem: the Warhammer franchises connect miniatures, tabletop gaming, publishing, retail, community participation and licensing.
- Profitability and cash generation: the model forecasts positive UFCF throughout FY2026–FY2030, rising from £171.0 million to £229.3 million.

Key Investment Risks

Risk	Why it matters
Valuation risk	The model's base-case DCF value is below the market price used in the analysis.
Growth slowdown	Lower revenue growth would reduce EBIT and future free cash flow.
Margin pressure	A reduction in operating margins would lower NOPAT and UFCF.
Terminal value sensitivity	DCF value is materially affected by WACC and terminal growth.
Consumer spending	Hobby purchases are partly discretionary and may be affected by household spending conditions.

The risks above are analytical considerations, not forecasts of future events.

Company Overview

Games Workshop Group plc is a UK-based specialist hobby and entertainment company best known for developing the Warhammer intellectual property. The Group designs, manufactures and sells miniature figures, tabletop games and related hobby products, supported by publishing, retail, licensing and community engagement.

Business Model

Games Workshop operates an integrated business model centred on the development and commercialisation of its intellectual property. Revenue is generated primarily through miniature products and associated hobby activities, supported by retail, trade distribution and online operations. Licensing provides an additional route to monetise the intellectual property through external partners and media development.

Intellectual Property and Brands

The principal intellectual properties are the Warhammer universes, notably Warhammer 40,000 and Warhammer: Age of Sigmar. These franchises underpin miniature ranges, tabletop games, publications and licensing activities. Their breadth allows customers to engage through collecting, painting, modelling, gaming and narrative content.

Geographic Reach

Although headquartered in the UK, Games Workshop operates internationally, with sales across Europe, North America and other markets. International reach provides avenues for growth while exposing the business to foreign exchange movements and regional consumer conditions.

Company Profile	Description
Company	Games Workshop Group plc
Ticker	GAW
Headquarters	Nottingham, United Kingdom
Primary business	Specialist hobby and entertainment
Core intellectual property	Warhammer
Main activities	Miniatures, tabletop games, retail, publishing and licensing

Key Business Characteristics

- Strong intellectual property
- Integrated ecosystem
- Global customer base
- Community-driven customer model

Industry Analysis

Games Workshop operates within the specialist hobby and tabletop gaming industry, where physical products, entertainment content and community participation reinforce one another. Customers can engage with a franchise through collecting, modelling, painting, gaming and related media.

Industry Structure

The market combines product sales, intellectual property and recurring customer participation. Specialist hobby businesses can benefit from customers purchasing across multiple categories over time, including miniatures, games, accessories, books and related products. Established fictional universes can also extend into publishing, licensing and other entertainment formats.

Key Industry Drivers

Intellectual Property

Distinctive IP can support product differentiation, customer engagement and long-term franchise development.

Community and Customer Engagement

Player, collector, painter and hobbyist communities can support repeat participation and purchases.

Product Innovation and Content

New miniatures, rules, books and narratives can encourage customers to remain active within the hobby.

Consumer Spending

The category is partly discretionary, making demand sensitive to household purchasing power and economic conditions.

Competitive Landscape

Competition occurs across intellectual property, product quality, community engagement, distribution and brand recognition. Games Workshop competes with other tabletop and miniature businesses as well as alternative forms of entertainment. Its model is differentiated by the integration of proprietary IP with miniatures, rules, publishing, retail and community engagement.

Industry Opportunities

Established intellectual property can create opportunities through new products, geographic expansion, deeper customer engagement, licensing and new media formats. For Games Workshop, the Warhammer ecosystem provides several complementary monetisation avenues built around a common intellectual property base.

Industry Risks

Factor	Potential impact
Consumer spending	Lower discretionary spending could reduce hobby purchases
Competition	Alternative games and entertainment can compete for attention
Intellectual property	Maintaining relevance and quality of the Warhammer universe is important
Product execution	Weak releases or customer reception could affect demand
International markets	Expansion creates opportunity but increases operational complexity
Licensing	Growth depends partly on successful third-party execution

Historical Performance

Games Workshop delivered substantial financial growth across FY2021–FY2025. Revenue increased from £369.5 million to £617.5 million, while operating profit increased from £151.7 million to £261.3 million. Profit attributable to owners increased from £122.0 million to £196.1 million.

£m except EPS	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue	369.5	414.8	470.8	525.7	617.5
Operating profit	151.7	157.1	170.2	201.8	261.3
Profit attributable to owners	122	128.4	134.7	151.1	196.1
Basic EPS (p)	32.733	32.813	32.881	32.935	32.963

Source: Games Workshop Group plc, Annual Report 2024/25, Five Year Summary, p.95.

Revenue and Margin Development

Revenue increased by approximately 67.1% between FY2021 and FY2025. FY2025 revenue growth was approximately 17.5% year on year, following approximately 11.7% in FY2024.

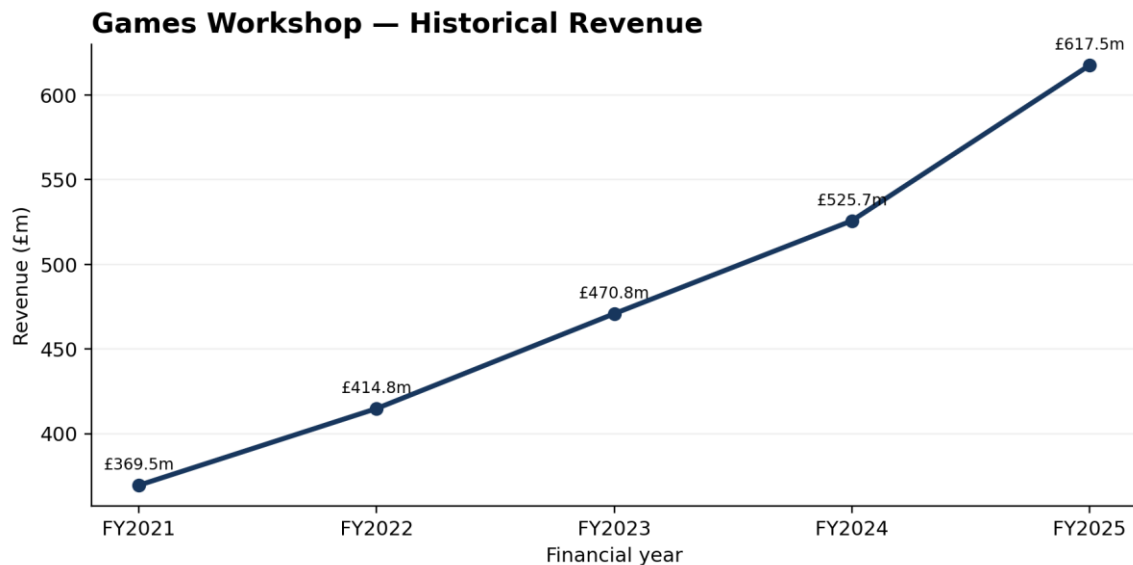


Figure 1. Historical revenue development. Source: Games Workshop Annual Report 2024/25; author's analysis.

Operating margin was 41.1% in FY2021, 37.9% in FY2022, 36.2% in FY2023, 38.4% in FY2024 and 42.3% in FY2025. The FY2025 result represents the strongest margin in the period analysed.

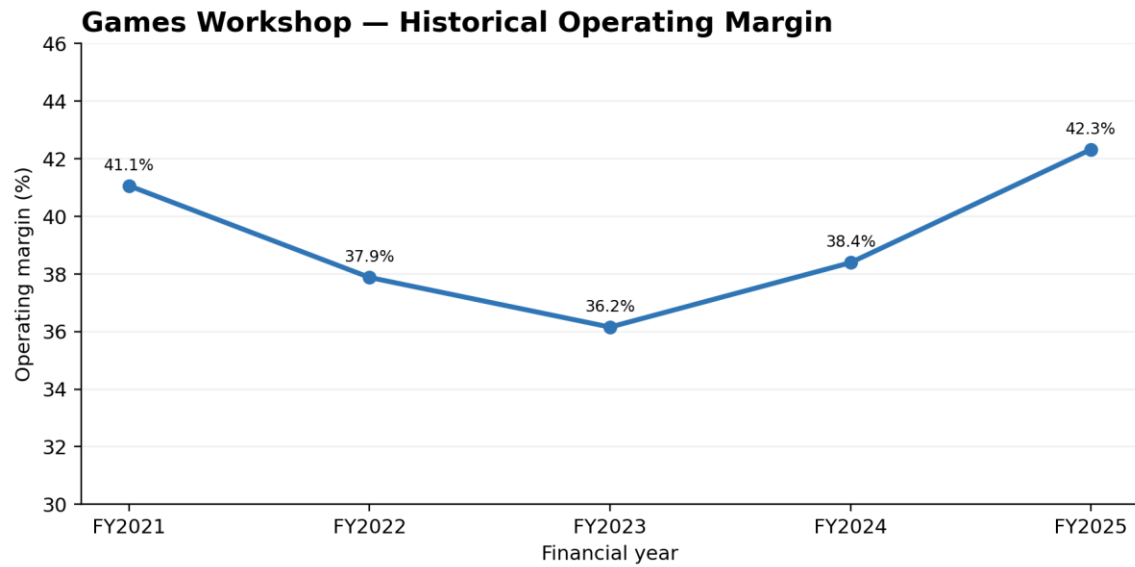


Figure 2. Historical operating margin. Source: Games Workshop Annual Report 2024/25; author's analysis.

Forecast Assumptions

The DCF forecast covers FY2026–FY2030, using FY2025 as the base year. Revenue growth is assumed to moderate from 7.0% in FY2026 to 5.0% in FY2030, while operating margins are assumed to increase from 42.0% to 44.0%. These are analyst/model assumptions rather than company guidance.

Assumption	FY2026	FY2027	FY2028	FY2029	FY2030
Revenue growth	7.0%	6.5%	6.0%	5.5%	5.0%
Gross margin	69.7%	70.0%	70.1%	70.3%	70.5%
Operating margin	42.0%	43.0%	43.2%	43.5%	44.0%
Tax rate	26.0%	26.4%	27.0%	27.3%	27.0%
D&A (% revenue)	2.5%	3.2%	3.5%	3.7%	3.9%
Capex (% revenue)	6.5%	6.7%	6.9%	6.9%	7.0%
Working capital (% revenue)	26.0%	26.0%	26.0%	26.5%	26.5%

Source: Analyst/model assumptions in the accompanying Excel DCF model. FY2028 Capex is aligned here to the Cash Flow sheet's 6.9% input, which drives the reported UFCF.

Forecast Revenue

£m	FY2025A	FY2026	FY2027	FY2028	FY2029	FY2030
Revenue	617.5	660.7	703.7	745.9	786.9	826.3

The forecast produces revenue of approximately £826.3 million by FY2030. The declining growth profile reflects a modelling assumption that the highest historical growth rates become harder to sustain as the revenue base expands.

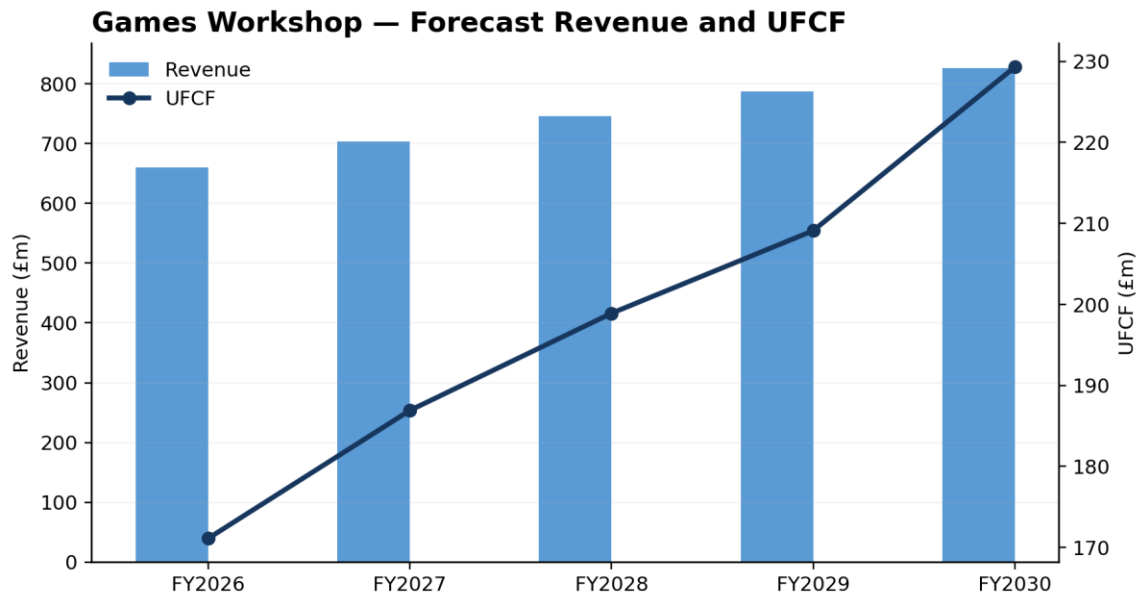


Figure 3. Forecast revenue and UFCF. Source: accompanying Excel DCF model; author's analysis.

DCF Valuation

The DCF estimates intrinsic value from the present value of forecast unlevered free cash flow. Forecast EBIT is derived from revenue and operating margin; NOPAT is calculated after tax; depreciation is added back; Capex and changes in working capital are deducted.

£m	FY2026	FY2027	FY2028	FY2029	FY2030
Revenue	660.7	703.7	745.9	786.9	826.3
EBIT	277.5	302.6	322.2	342.3	363.6
NOPAT	205.4	222.7	235.2	248.9	265.4
Depreciation	16.5	22.5	26.1	29.1	32.2
Capital expenditure	(42.9)	(47.1)	(51.5)	(54.3)	(57.8)
Change in working capital	(7.9)	(11.2)	(10.9)	(14.6)	(10.5)
UFCF	171.1	186.9	198.9	209.1	229.3

Source: Accompanying Excel DCF model. UFCF values reconcile to the model's underlying NOPAT, depreciation, Capex and working-capital assumptions. UFCF increases from approximately £171.0 million in FY2026 to £229.3 million in FY2030. At an 8.9% WACC, the present value of the explicit forecast cash flows is approximately £767.1 million.

Terminal Value and Equity Bridge

Valuation Metric	Result
Present value of forecast UFCF	£767.1m
Present value of terminal value	£2,213.1m
Enterprise value	£2,980.2m
Cash	£132.6m
Lease liabilities	(£45.2m)
Equity value	£3,067.6m
Shares outstanding	32.972m
Implied share price	£93.04

Source: Cash, lease liabilities and issued shares: Games Workshop Group plc, Annual Report 2024/25, Notes 22, 28 and 31.

The terminal value is approximately £3.39 billion at the end of FY2030, with a present value of approximately £2.21 billion. The terminal value therefore represents a substantial component of enterprise value, making the DCF particularly sensitive to WACC and terminal growth.

Comparable Companies Analysis

Trading comparables provide a market-based cross-check to the DCF. The selected peer group comprises Hasbro, Mattel, Funko and Character Group. Games Workshop is shown separately and excluded from the peer median calculations.

Company	EV (£m)	Revenue (£m)	EBITDA (£m)	EPS (£)	Share Price (£)	EV/Rev.	EV/EBITDA	P/E
Games Workshop	6,110.0	659.7	321.5	6.23	189.30	9.26x	19.00x	30.39x
Hasbro	15,690.0	4,970.0	1,290.0	5.60	93.52	3.16x	12.16x	16.70x
Mattel	6,450.0	5,490.0	626.6	1.40	14.79	1.17x	10.29x	10.56x
Funko	550.4	932.6	84.8	-0.04	5.88	0.59x	6.49x	N/A
Character Group	38.3	95.7	2.7	-0.10	3.00	0.40x	14.40x	N/A
Peer median	—	—	—	—	—	0.88x	11.23x	13.63x

Market-data snapshot and analyst compilation used in the model; peer companies are not direct like-for-like comparators.

Implied Valuation Using Peer Medians

Method	Peer median	GAW metric	Implied share value
EV/Revenue	0.88x	£659.7m revenue	£20.26
EV/EBITDA	11.23x	£321.5m EBITDA	£112.15
P/E	13.63x	£6.23 EPS	£84.91

The selected peers trade on materially different business models, scales and profitability profiles. Accordingly, the multiples should be interpreted as valuation benchmarks rather than as direct estimates of intrinsic value. The dispersion is especially large on EV/Revenue, where differences in margin structure have a substantial effect.

Using the peer medians, the implied share values are approximately £20 under EV/Revenue, £112 under EV/EBITDA and £85 under P/E. The market price used in the comparable-company dataset is £189.30 per share.

Sensitivity Analysis

The DCF sensitivity analysis varies WACC and terminal growth while holding the forecast UFCF and balance-sheet bridge constant. The base case is 8.9% WACC and 2.0% terminal growth, producing an implied value of £93.04 per share.

WACC / Terminal Growth	1.0%	1.5%	2.0%	2.5%	3.0%
7.9%	£96.16	£101.97	£108.77	£116.82	£126.51
8.4%	£89.65	£94.58	£100.29	£106.95	£114.86
8.9%	£83.97	£88.19	£93.04	£98.63	£105.18
9.4%	£78.96	£82.62	£86.77	£91.52	£97.02
9.9%	£74.52	£77.71	£81.30	£85.38	£90.05

Implied Games Workshop share price (£). Central cell represents the base case.

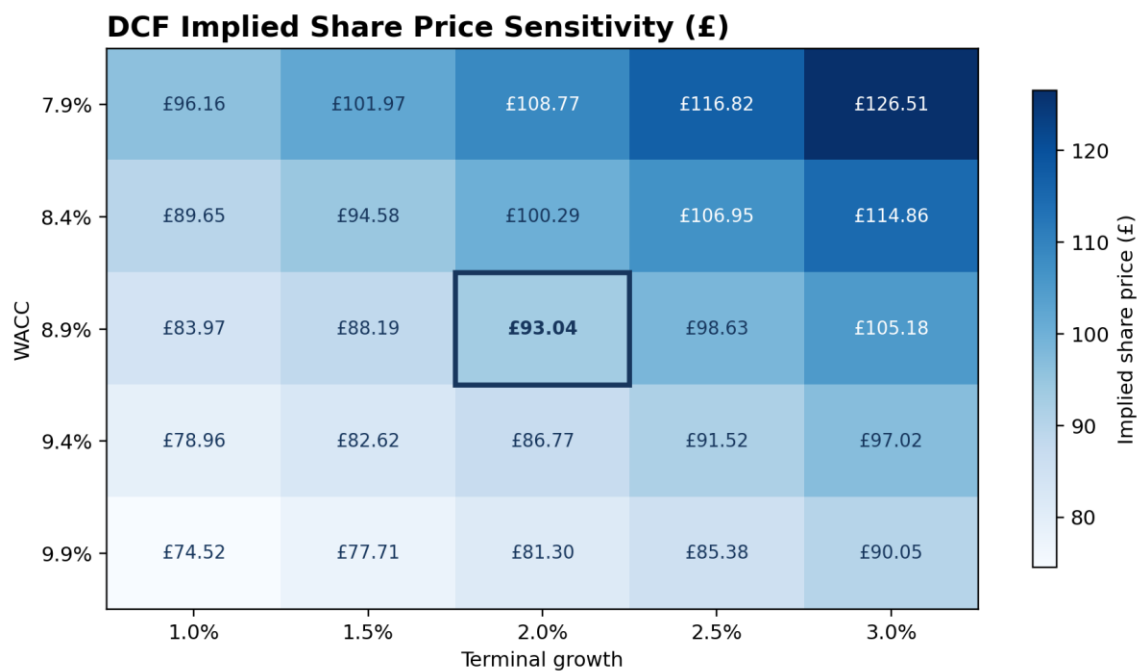


Figure 4. DCF implied share price sensitivity. Source: accompanying Excel DCF model; author's analysis.

Interpretation

At the base WACC of 8.9%, increasing terminal growth from 1.0% to 3.0% increases the implied value from £83.97 to £105.18 per share. At 2.0% terminal growth, reducing WACC from 9.9% to 7.9% increases the implied value from £81.30 to £108.77.

The range demonstrates that DCF valuation is assumption-sensitive. Because terminal value represents a substantial share of enterprise value, long-term growth and discount-rate assumptions have a meaningful effect on the result.

Investment Risks

The valuation rests on assumptions about continued revenue growth, high operating profitability and sustained cash generation. Several business and valuation risks could cause actual outcomes to differ from the model.

Risk	Description	Potential valuation impact
Valuation risk	The market price used in the analysis is above the base-case DCF value and the target trades at a premium to the selected peers.	Multiple contraction or weaker DCF assumptions could reduce implied equity value.
Growth slowdown	Revenue growth may moderate more quickly than assumed.	Lower revenue would reduce EBIT and future UFCF.
Margin pressure	The forecast assumes operating margins remain above 40%.	Lower margins would reduce EBIT, NOPAT and UFCF.
Consumer spending	Hobby purchases are partly discretionary.	Weaker household spending could affect demand.
Intellectual property risk	Long-term franchise relevance is central to customer engagement.	Lower engagement could weaken product demand and growth.
Product execution	The model depends on continued successful miniatures, games, rules and content.	Weak releases or reception could affect sales and margins.
International and licensing	International growth and licensing introduce execution and third-party risks.	Lower overseas or licensing performance could reduce growth and profit.
Terminal value risk	Terminal value is a substantial component of enterprise value.	Changes in WACC or terminal growth materially affect valuation.

Risk Considerations

The most important analytical consideration is the relationship between operating performance and valuation. Games Workshop may continue to deliver strong financial results while the equity valuation changes if market expectations, discount rates or valuation multiples change.

The FY2025 trading update also indicated that licensing revenue had reached a record level but was not expected to repeat in FY2025/26. This supports a cautious treatment of unusually strong licensing performance when assessing forward-looking cash flows.

Conclusion

Games Workshop has demonstrated strong historical financial performance, supported by its Warhammer intellectual property, global customer ecosystem and integrated operating model. Revenue increased from £369.5 million in FY2021 to £617.5 million in FY2025, while operating profit increased from £151.7 million to £261.3 million.

The DCF assumes continued growth, with revenue growth moderating from 7.0% in FY2026 to 5.0% in FY2030. Operating margin is assumed to rise from 42.0% to 44.0%, resulting in increasing UFCF from £171.0 million to £229.3 million.

Using an 8.9% WACC and 2.0% terminal growth rate, the DCF produces enterprise value of approximately £2.98 billion and equity value of approximately £3.07 billion. Based on 32.972 million shares outstanding, the implied DCF value is £93.04 per share.

The comparable-company analysis provides a separate market-based perspective. Peer-median implied values vary materially depending on the metric used, reflecting the limitations of comparing Games Workshop with larger and more diversified businesses.

The analysis therefore presents a valuation framework in which business quality, growth, profitability and the price paid must be considered together. The DCF should be interpreted as a range of outcomes rather than a precise point estimate, with the sensitivity analysis illustrating the effect of alternative WACC and terminal-growth assumptions.

Valuation Measure	Result
DCF Enterprise Value	£2,980.2m
DCF Equity Value	£3,067.6m
DCF Implied Share Price	£93.04
WACC	8.9%
Terminal Growth	2.0%
Peer EV/Revenue implied value	£20.26
Peer EV/EBITDA implied value	£112.15
Peer P/E implied value	£84.91

This report is a portfolio modelling exercise. Forecast assumptions are analyst/model inputs, and the valuation outcome is sensitive to changes in operating performance, capital requirements, WACC and terminal growth.

Sources & Methodology

Primary Company Source

Games Workshop Group plc, Annual Report 2024/25, covering the 52 weeks ended 1 June 2025. The report provides the historical five-year summary, FY2025 cash balance, taxation information, issued share count and lease liabilities used in the valuation.

Source: Annual Report 2024/25:

https://assets.ctfassets.net/ost7hseic9hc/3kXsoA4jSOmOj6BLZ7bV7F/c34a5f56769e8be055c19b8e1ccc5526/Accounts_2024-25_FINAL.pdf

Source: Investor Relations annual reports archive: <https://investor.games-workshop.com/annual-reports-and-half-year-results>

Modelling Methodology

- Historical financial data is taken from Games Workshop's published annual reporting, with FY2021–FY2025 used for historical analysis.
- Forecast revenue growth, margins, D&A, Capex and working-capital assumptions are explicit analyst/model inputs and are not company guidance.
- The DCF uses FY2026–FY2030 unlevered free cash flow, an 8.9% WACC and a 2.0% Gordon Growth terminal rate.
- Enterprise value is bridged to equity value by adding cash and deducting lease liabilities, then dividing by 32.972 million issued shares.
- Comparable-company medians are calculated excluding Games Workshop from the peer set. The peer dataset is an analyst/model market-data snapshot and may not be perfectly aligned with the 1 June 2025 valuation date.
- FY2028 Capex is presented at 6.9% in this report because that is the rate used in the Excel Cash Flow sheet and therefore in the UFCF calculation; the separate Forecast Assumptions sheet contains 6.85%. This is disclosed rather than silently reconciled.

Important Limitations

The valuation is dependent on simplified operating assumptions and should not be interpreted as a forecast of company guidance or a precise estimate of fair value. Terminal value is a substantial component of enterprise value. The report is intended for educational and portfolio use only.